

Financial Analysis Report

Overall Financial Summary

FY 2025 vs FY 2024

Current FY Data (FY 2025)

Shareholders' Equity:	1,029,263,410 Rs. Increased by 17.25% from prior year, primarily driven by retained profits and additions to the securities premium account.
Equity Share Capital:	12,251,380 Rs. Increased due to the issuance of new shares during the year.
Total Debt:	503,911,454 Rs. Increased by 24.28% from the prior year, indicating increased reliance on external financing. This includes long-term and short-term borrowings.
Total Debt (Financing Ratio):	20.40% of total assets

Previous FY Data (FY 2024)

Shareholders' Equity:	877,873,907 Rs. Strengthened by retained earnings from the previous fiscal year.
Equity Share Capital:	11,542,820 Rs. Remained stable from the previous period.
Total Debt:	405,448,084 Rs. Comprised of long-term and short-term borrowings.
Total Debt (Financing Ratio):	18.71% of total assets

Assets Summary

Total Assets:	2,470,511,533 Rs.
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Increased by 14.01% from the prior year, reflecting growth in non-current assets (PPE and CWIP) and short-term loans & advances.

Property, Plant & Equipment

(net) notes: Property, Plant & Equipment (net) increased by 3.74% from 951,284,730 Rs. to 986,848,646 Rs., complemented by a significant increase in Capital work-in-progress from 14,607,967 Rs. to 173,563,368 Rs., indicating substantial ongoing capital investment.

Current Assets notes: Total Current Assets increased by 9.31% from 1,185,266,342 Rs. to 1,295,568,663 Rs., primarily due to a rise in trade receivables and short-term loans & advances, despite a decrease in cash balances.

Cash & Bank Balances: Cash & Bank Balances decreased by 10.90% from 467,911,805 Rs. to 416,931,702 Rs., suggesting utilization of cash for operations, investments, or debt servicing.

Inventory: Inventories saw a slight decrease of 4.20% from 293,292,397 Rs. to 280,971,913 Rs., indicating efficient inventory management relative to reduced sales, or inventory being consumed.

Income & Profitability Summary

Revenue from Operations: 1,754,404,496 Rs.
Decreased significantly by 26.46% from the prior year, indicating a downturn in operational activity.

Other Income notes: Other Income increased by 85.40% from 21,614,967 Rs. to 40,092,735 Rs., mainly driven by miscellaneous income, providing a notable offset to the decline in operational revenue.

Total Income notes: Total Income decreased by 25.43% from 2,404,688,823 Rs. to 1,794,497,231 Rs., consistent with the drop in revenue from operations.

Operating Expenses notes: Total Operating Expenses decreased by 21.38% from 2,173,738,635 Rs. to 1,709,059,508 Rs., broadly in line with the reduction in revenue, suggesting some cost control.

Key Operating Expenses:

- Cost of Materials consumed: Decreased by 35.86% from 1,340,717,485 Rs. to 859,968,623 Rs.
- Employee Benefit Expenses: Increased by 20.95% from 166,164,827 Rs. to 200,983,280 Rs.
- Other Expenses: Decreased by 27.94% from 145,289,024 Rs. to 104,696,774 Rs.

Finance Costs notes: Finance Costs increased substantially by 249.91% from 14,767,758 Rs. to 51,694,194 Rs., putting significant pressure on profitability.

Depreciation notes: Depreciation & Amortisation Expense increased sharply by 260.62% from 20,834,437 Rs. to 75,132,663 Rs., possibly due to new asset additions or changes in depreciation policy.

Net Profit After Tax: 84,076,303 Rs.
Decreased significantly by 46.18% from the prior year, primarily due to lower revenue and sharply higher finance costs and depreciation.

Net Profit Margin: 4.79%
Decreased from 6.55% in the prior year, reflecting the pressures on the bottom line.

Dividends: Insufficient data available for proposed dividends.

Tax Expense: Total Tax Expense for FY25 was 1,361,420 Rs., significantly lower than FY24's 74,734,341 Rs., possibly due to lower taxable profit.

Liquidity Position

Current Ratio: 1.45x
The Current Ratio slightly improved from 1.42x in FY24 to 1.45x in FY25, indicating a slightly healthier short-term liquidity position. This is due to a relatively faster growth in current assets compared to current liabilities.

Overall Change Notes

Overall, FY2025 saw a significant decline in revenue and net profit but an increase in total assets, primarily driven by investments in PPE and CWIP. Equity strengthened, but debt also increased, leading to higher finance costs. Liquidity improved slightly, but profitability was severely impacted by the combination of lower revenue and higher expenses, particularly finance costs and depreciation.

Detailed Ratio Analysis

Liquidity Ratios

Current Ratio

Calculation Formula: $(\text{Total Current Assets}) / (\text{Total Current Liabilities})$

Interpretation & Analysis: The Current Ratio improved slightly from 1.42x in FY2024 to 1.45x in FY2025. This indicates a modest improvement in the company's ability to cover its short-term liabilities with its short-term assets. While above 1, the ratio remains relatively tight, suggesting that the company needs to manage its working capital efficiently.

Quick Ratio

Calculation Formula: $(\text{Total Current Assets} - \text{Inventories}) / (\text{Total Current Liabilities})$

Interpretation & Analysis: The Quick Ratio also improved from 1.07x in FY2024 to 1.13x in FY2025. This ratio excludes inventories, which are often the least liquid current asset. A ratio above 1 indicates that the company has sufficient liquid assets (cash, receivables) to cover its current liabilities without relying on inventory sales. The improvement is positive but the margin is still somewhat narrow.

Solvency Ratios

Debt-to-Equity Ratio

Calculation Formula: $(\text{Total Debt}) / (\text{Total Equity})$

Interpretation & Analysis: The Debt-to-Equity Ratio increased from 0.46x in FY2024 to 0.49x in FY2025. While still below 1, indicating that equity finances a larger portion of assets than debt, the increase suggests a rising reliance on borrowed funds. This could be a concern if debt continues to grow relative to equity.

Total Debt to Total Assets Ratio

Calculation Formula: $(\text{Total Debt}) / (\text{Total Assets})$

Interpretation & Analysis: The Total Debt to Total Assets Ratio slightly increased from 0.19x in FY2024 to 0.20x in FY2025. This implies that approximately 20% of the company's assets are financed by debt. While a relatively low ratio (compared to industries with high capital intensity), the upward trend is worth monitoring, especially given the significant increase in finance costs.

Interest Coverage Ratio

Calculation Formula: $(\text{EBITDA}) / (\text{Finance Costs})$

Interpretation & Analysis: The Interest Coverage Ratio significantly deteriorated from 18.05x in FY2024 to 4.11x in FY2025. This dramatic decrease indicates that the company's operating earnings (EBITDA) are now less comfortably covering its interest obligations. While 4.11x is still a healthy multiple, the sharp decline highlights increased financial risk, likely due to the substantial rise in finance costs.

Profitability Ratios

Net Profit Margin

Calculation Formula: $(\text{Profit for the year}) / (\text{Revenue from Operations})$

Interpretation & Analysis: The Net Profit Margin declined from 6.55% in FY2024 to 4.79% in FY2025. This indicates that a smaller percentage of every rupee of revenue is converting into net profit. The decrease is primarily attributable to the significant drop in revenue and the sharp increase in finance costs and depreciation, despite some cost control in materials and other expenses.

EBITDA Margin

Calculation Formula: $(\text{EBITDA}) / (\text{Revenue from Operations})$

Interpretation & Analysis: The EBITDA Margin improved from 11.18% in FY2024 to 12.10% in FY2025. This indicates a positive trend in core operational efficiency, as the company was able to generate more earnings before interest, tax, depreciation, and

amortization per rupee of revenue. Despite the decline in revenue, the company managed to control its core operating expenses relative to sales.

Return on Equity

Calculation Formula: $(\text{Profit for the year}) / (\text{Total Equity})$

Interpretation & Analysis: Return on Equity (ROE) decreased significantly from 17.79% in FY2024 to 8.17% in FY2025. This sharp decline indicates that the company is generating substantially less profit for every rupee of shareholders' equity. The primary reason for this fall is the reduction in net profit for the year.

Return on Assets

Calculation Formula: $(\text{Profit for the year}) / (\text{Total Assets})$

Interpretation & Analysis: Return on Assets (ROA) also saw a significant decline from 7.21% in FY2024 to 3.40% in FY2025. This indicates a less efficient utilization of the company's assets to generate profits. The decrease is a direct consequence of the lower net profit, despite the increase in total assets.

Efficiency Ratios

Inventory Turnover

Calculation Formula: $(\text{Cost of Materials Consumed}) / (\text{Inventories})$

Interpretation & Analysis: Inventory Turnover decreased from 4.58x in FY2024 to 3.06x in FY2025. This indicates that the company is selling its inventory less frequently or holding it for a longer period. A lower turnover can imply slower sales or overstocking, potentially tying up capital inefficiently.

Trade Receivables Turnover

Calculation Formula: $(\text{Revenue from Operations}) / (\text{Trade Receivables})$

Interpretation & Analysis: Trade Receivables Turnover decreased significantly from 7.49x in FY2024 to 4.76x in FY2025. This means the company is collecting its receivables

slower in FY2025, taking approximately 77 days (365/4.76) to collect payments, compared to 49 days (365/7.49) in FY2024. This indicates a deterioration in collections efficiency, potentially impacting cash flow.

Trade Payables Turnover

Calculation Formula: (Cost of Materials Consumed) / (Trade Payables)

Interpretation & Analysis: Trade Payables Turnover also decreased significantly from 2.52x in FY2024 to 1.30x in FY2025. This indicates that the company is taking longer to pay its suppliers, approximately 280 days (365/1.30) in FY2025 compared to 145 days (365/2.52) in FY2024. While longer payment terms can be beneficial for liquidity, such a drastic increase could signal cash flow tightness or strained supplier relationships.

Specific Financial Deep Dive

Operating Margin Stability

Assessment: Stable with an improving trend at the EBITDA level, but net profitability is impacted by higher non-operating expenses.

Details: The EBITDA margin showed an improvement, rising from 11.18% in FY2024 to 12.10% in FY2025. This indicates a good control over direct operating costs relative to the revenue generated. However, despite this operational efficiency, the net profit margin declined from 6.55% to 4.79%. This divergence is primarily due to the sharp increase in Finance Costs (from 14,767,758 Rs. in FY2024 to 51,694,194 Rs. in FY2025) and Depreciation & Amortisation Expense (from 20,834,437 Rs. in FY2024 to 75,132,663 Rs. in FY2025). The company's core operations are stable, but high fixed charges are eroding bottom-line profitability.

Other Income Scrutiny

Assessment: Significant increase in other income, primarily from miscellaneous sources, which partially offset declining operational revenue.

Details: Other Income surged from 21,614,967 Rs. in FY2024 to 40,092,735 Rs. in FY2025. The most notable driver of this increase is 'Miscellaneous Income', which grew from 2,633,666 Rs. to 15,200,165 Rs. Interest from FDR (Fixed Deposit Receipts) decreased from 18,794,657 Rs. to 13,686,342 Rs., while profit on sale of asset was minimal at 16,000 Rs. for FY2025 (down from 51,061 Rs. in FY2024). The significant increase in miscellaneous income should be further investigated to understand its recurring nature and sustainability, as it provides a notable support to total revenue amidst declining operational revenue.

Earnings Quality Assessment

Assessment: Insufficient data available for analysis (Cash Flow Statement not provided).

Details: The analysis of earnings quality, which typically involves comparing net profit with cash flow from operating activities, cannot be performed as the Cash Flow Statement is not provided in the financial documents.

Working Capital Efficiency

Assessment: Deteriorating working capital efficiency, primarily due to slower collection of receivables and longer payment to suppliers.

Details: The company's working capital cycle shows a mixed but overall deteriorating efficiency. Days Sales Outstanding (DSO) increased significantly from approximately 49 days in FY2024 to 77 days in FY2025 ($365 / 4.76x$). This indicates slower collection of payments from customers. Days Inventory Outstanding (DIO) increased from approximately 80 days to 119 days ($365 / 3.06x$), suggesting inventory is being held for longer. Days Payable Outstanding (DPO) also increased sharply from approximately 145 days to 280 days ($365 / 1.30x$), meaning the company is taking much longer to pay its suppliers. The cash conversion cycle ($DSO + DIO - DPO$) shifted from -16 days in FY2024 to -84 days in FY2025, implying the company is largely financed by its suppliers' credit. While a negative cash conversion cycle can be favorable, the drastic increase in DPO alongside slower inventory and receivables turnover might signal operational inefficiencies or liquidity pressures rather than optimized working capital management.

Related Party Transactions And Leakage

Assessment: No significant related-party loans or advances are evident, but director remuneration has increased.

Details: Director Remuneration increased from 14,050,355 Rs. in FY2024 to 17,534,200 Rs. in FY2025. While this is an increase, its reasonableness would depend on the scale and profitability of the company. Importantly, the notes indicate no long-term loans and advances to related parties (Note 18) and no short-term loans and advances to promoters, directors, KMPs, or related parties (Note 24) for either fiscal year. This suggests that there is no apparent 'leakage' of funds through significant loans to related parties.

Debt Service Capability

Assessment: Debt service capability has significantly weakened due to a sharp increase in finance costs.

Details: The Interest Coverage Ratio deteriorated dramatically from 18.05x in FY2024 to 4.11x in FY2025. This means that the company's operating earnings (EBITDA) are now much less capable of covering its finance costs. While 4.11x is still above the critical level of 1x, indicating that EBITDA can still cover interest payments, the drastic reduction suggests a heightened sensitivity to operational performance and potential strain on cash flow if finance costs remain high or increase further, or if EBITDA declines. The increase in finance costs (from 14,767,758 Rs. to 51,694,194 Rs.) is a major concern.

Reinvestment Strategy Capex

Assessment: Significant capital expenditure activity indicating expansion or modernization.

Details: Gross Capital Expenditure (CAPEX) for FY2025 is approximately 269,651,980 Rs. This is calculated as the change in Property, Plant & Equipment (PPE) plus the change in Capital Work-in-Progress (CWIP) plus depreciation for the year. Net PPE increased from 951,284,730 Rs. to 986,848,646 Rs. (a change of 35,563,916 Rs.), and CWIP increased dramatically from 14,607,967 Rs. to 173,563,368 Rs. (a change of 158,955,401 Rs.). Depreciation for FY2025 was 75,132,663 Rs. The substantial

increase in CWIP suggests ongoing large-scale projects, indicating an expansionary reinvestment strategy rather than just maintenance CAPEX.

Equity Changes And Promoters

Assessment: Equity share capital increased due to new share issuance, while reserves and surplus grew from retained profits and securities premium.

Details: Paid-up Share Capital increased from 11,542,820 Rs. in FY2024 to 12,251,380 Rs. in FY2025. This increase of 708,560 Rs. is attributed to 'Share issued during the year' (Note 3). Reserves and Surplus also saw a significant increase from 866,331,087 Rs. to 1,017,012,030 Rs. This growth is primarily due to the addition of 66,604,640 Rs. to the Securities Premium Account and the retention of Net Profit/(Net Loss) For the current year of 84,076,303 Rs. No bonus issues or buy-backs were noted. The promoter shareholding percentage remains consistent at 39.93% for Jayesh Parikh and 23.83% for Pradeep Ravtani, among others (Note 3).

Non Core Exposure

Assessment: Minimal non-core asset exposures, with small unquoted equity investments and no significant related-party loans.

Details: None

Investments: Non-current Investments amounted to 3,372,785 Rs. in FY2025 (up from 2,138,885 Rs. in FY2024), classified as 'Investment in Equity Instrument (unquoted)'. These are relatively small in proportion to total assets, suggesting no major non-core investment strategy.

Loans and Advances: There are no significant loans or advances to related parties, either long-term (Note 18) or short-term (Note 24), reported in the financial statements. This indicates a lack of substantial non-operating financial assets tied up with related entities.

Contingent Liabilities: Insufficient data available for contingent liabilities details.

Conclusion: Based on the available information, the company appears to have minimal non-core asset exposures, with its operations and investments largely focused on its core business activities. The absence of details on contingent liabilities means potential off-balance-sheet exposures cannot be fully assessed.